Expenditure incurred to meet day to day and regular needs of government and that will not yield any revenue in future are termed as revenue expenditure. It is a one-way payment. It means, if government spends money, it cannot recover it. These are:

E.1. 1. Interest Payments

Interest paid on borrowing and other liabilities and discounts on treasury bills constitute this category.

E.1. 2. Defence, Police

Expenditure of revenue nature towards law and order and defefnce come under this category.

E.1. 3. Subsidies

Subsidies on public distribution, fertilisers, etc, are included in this category.

E.1. 4. Grants to States & Union Territories

Grants given by the Centre to states and Union Territories come under this head. Though these grants are spent under capital expenditure by the receiving governments they come under this head as stipulated by Article 34(c) of the Audit Code.

E.1. 5. Pensions and Salaries

Pensions and salaries of central government departments and those paid out of consolidated fund as charged expenditure come under this category. Charged expenditure means the expenditures that can be spent without vote (approval) of legislature.